

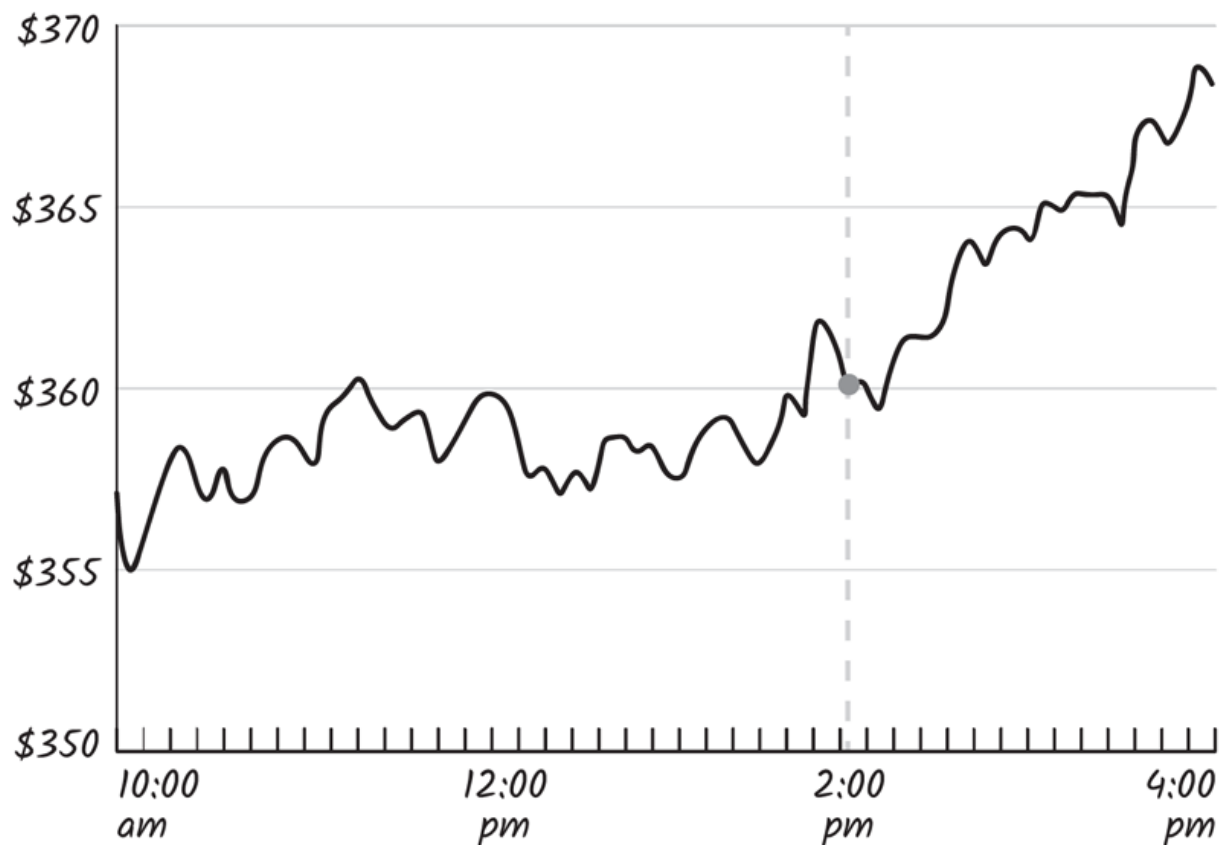


Figure 7.1: daily price movement of a stock

There are three main causes for stock and fund price fluctuations:

1. supply and demand
2. company earnings
3. investor sentiment

Supply and demand

If you have 10 lollipops for \$1 each, and 10 people want them, the lollipops will sell for \$1. Simple enough. But if you had 10 lollipops and 100 people wanted them, people would start bidding higher for a lollipop. Naturally the price of the lollipop would rise, and keep rising until it reached the price the hungriest person was willing to pay.

If you had 10 lollipops for \$1 each but only four people wanted them, the four people would likely be able to negotiate the price down with the seller, as there is more supply than demand. This is how stock prices change. They